

Amazon.com, Inc.

AMZN NASDAQ

Buy

\$273.56 ▲ 0.33%

12M Price Target
\$315.00

52-Week Range
\$196.00 – \$287.20

Market Cap
\$2.94T

AMZN: Cloud Capex Bet Paying Off, Bezos Sells Again

WHAT HAPPENED

- Stock is basically flat (\$273.56, +0.33%) after selling off ~4% from Monday's \$284 pop — the market's digesting whether Amazon's massive capex spending on AI infrastructure is a smart moat-builder or a cash drain. The 24/7 Wall St. piece this morning frames it as "did they just win the cloud war?" — that's the bull narrative gaining traction.
- Bezos dumped another \$346M in stock on Aug 3rd. That's a big headline number but honestly it's his usual pre-scheduled selling (10b5-1 plan) — not him running for the exits. Still, when the founder is a consistent seller, it caps enthusiasm.

WHY IT MATTERS

Here's what I think is actually happening: the market is starting to reward hyperscalers (the big cloud players) for their AI capex instead of punishing them, which is a huge sentiment shift from six months ago. AMZN is trading at 85% of its 52-week range with bullish options flow (put/call ratio of 0.54 means traders are buying nearly 2x more upside bets than downside protection) — that tells me smart money is positioning for a breakout above \$287. The bigger picture: with the Trump administration's lighter-touch approach to Big Tech antitrust (Khan-era FTC aggression is gone), Amazon's regulatory overhang has meaningfully lifted, and that alone justifies multiple expansion. Watch for: if AWS growth reaccelerates above 20% next quarter, this stock could rerate hard.

POLICY & POLITICAL WATCH

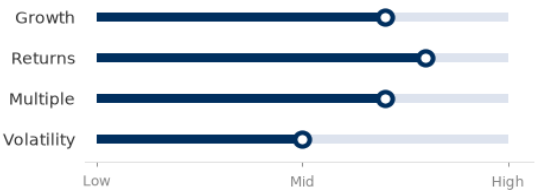
The key policy tailwind right now is the shift away from aggressive antitrust enforcement — the FTC's structural case against Amazon has been effectively defanged, which removes a huge tail risk that was suppressing the multiple. On the flip side, watch tariff policy: Amazon's third-party marketplace is heavily exposed to Chinese sellers, and any escalation in the ongoing China trade posture directly hits GMV (gross merchandise value — total dollar amount of goods sold on the platform). The wild card is the federal AI procurement pipeline — AWS is the largest government cloud provider, and if Congress passes expanded federal AI spending (bipartisan support building), Amazon captures an outsized share.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$273.56
12M Price Target	\$315.00
Upside / (Downside)	+15.1%
Market Cap	\$2.94T
FY2026E Revenue	\$738M
FY2027E Revenue	\$812M
FY2026E EPS	\$7.15
FY2027E EPS	\$8.60
Fwd P/E	38.3x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$290.00	\$278.00	\$260.00
6 Months	\$315.00	\$295.00	\$250.00
1 Year	\$340.00	\$315.00	\$240.00
2 Years	\$400.00	\$360.00	\$260.00
5 Years	\$550.00	\$450.00	\$300.00
10 Years	\$800.00	\$600.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+6.3% over 5 days) is on fire — that's AMZN's home sector and it signals investors are betting on a resilient consumer. Industrials (+5.5%) too, likely on infrastructure spending optimism.

COOLING OFF: Healthcare and Real Estate look weak — Real Estate down 1.65% over 5 days suggests rate-cut hopes are fading, which is a mild headwind for growth stocks.

ROTATION WATCH: Money is rotating INTO cyclicals and AI-exposed names simultaneously — that's a "soft landing + AI monetization" trade, and AMZN sits at the intersection of both.

RELATED PLAY: If you believe the AWS story, data center REITs (DLR, EQIX) and power infrastructure names (VRT, ETN) are second-order beneficiaries — Amazon's capex has to go somewhere, and it's going into their supply chain.

WHO'S WINNING IN THIS SPACE?

- MSFT (Microsoft): Also winning the AI cloud narrative, with Azure growth similarly benefiting from enterprise AI adoption and a cleaner margin story.
- META (Meta): Ad revenue is exploding thanks to AI-driven targeting improvements — validates that AI is monetizing NOW, not in 2028.

AMZN CONTEXT: Amazon is roughly in-line with mega-cap tech peers but slightly lagging MSFT on the AI narrative — that's actually a setup, not a problem. If AWS delivers one clean beat, the gap closes fast. The Bezos selling is capping short-term upside but institutional ownership at 67.6% shows the big money isn't going anywhere.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — I like this setup because the risk/reward is genuinely asymmetric with antitrust risk fading and AI monetization accelerating.

POSITION SIZE: 5-7% — this is a core holding, not a trade. Mega-caps with real cash flow deserve real weight.

ENTRY POINTS: Add on pullbacks to \$265-272; if it breaks \$287 on volume, that's a breakout to chase modestly.

TIME HORIZON: 12-24 months — I'm waiting for two more AWS earnings prints to confirm the reacceleration story.

WHEN TO BAIL: If AWS growth drops below 15% for two consecutive quarters, or if the political winds shift and a new antitrust case emerges, I'm cutting the position in half.

HEDGING: Simplest hedge — buy put options 5-10% below current price for 6 months out. Think of it as insurance: you pay a small premium, and if the stock craters, your puts pay off to offset losses.